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British Consulate,
Tamsui,
Formosa.

No. 16 (725/S.1/52) 7th April, 1952.

Copied to:-

U.K.L.M. Tokyo, No. 7.
Political Adviser, Hong Kong, No. 7.
Commissioner-General, Singapore, No. 8.

CONFIDENTIAL.

Sir,

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I have the honour to refer to my despatch of the 11th March, 1952, in which an account was given of the negotiations in Taipei regarding the signature of a bilateral treaty between the Japanese and Nationalist Chinese Governments. I now forward a fuller report dealing with the period 10th March to 3rd April, the broad outlines of which have already been covered in my telegrams Nos. 42 and 47 of the 20th and 29th March.

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2. The sequence of events is described in the annexed diary, from which you will see that, after much hard bargaining, complete accord was reached by the two delegations at the meeting of 25th March, in spite of the stubborn attitude of both sides on the reparations question. According to reports in the local press (which are believed to be substantially correct), the main items of interest in the agreed draft were:-

(1) Japan renounces her claim to Formosa and the Pescadores (but no reference was included as to their final disposal).

(2) Japan recognises "China's" status as a member of the Allied nations, in agreeing to give her all rights and privileges not covered by the bilateral treaty but given to other nationals by Japan.

(3) Japan recognises "China's" right to confiscate and dispose of Japanese property in Formosa and the Pescadores.

/ (4)

Her Majesty's
Principal Secretary of State
for Foreign Affairs,
Foreign Office,
London, S.W.1.

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(4) Japan agrees to pay reparations in principle, but "China" relinquishes any claim to benefits in cash, kind or services (this item was to be omitted from the text of the treaty and dealt with by an exchange of notes).

(5) Japan and "China" will settle all property and financial disputes formerly existing between the people of Formosa and Japan in later discussions.

(6) The scope of application of the treaty would cover territory now or in future under the control of the National Government. But both sides agree that this should not affect Nationalist sovereignty over the mainland (this item also is to be dealt with by an exchange of notes).

(7) The date of opening of hostilities is not specifically stated, but references are included in the text to 18th September, 1931 (the date of the Japanese attack on Mukden).

(8) Japan renounces all her rights and privileges in China acquired through the final protocol of the Peking treaty of 1901. She also renounces all her treaties with China signed after 18th September, 1931.

(9) Japan gives "China" most favoured nation treatment in trade and commerce.

(10) Other articles follow closely those of the San Francisco multi-lateral treaty.

3. The greatest stumbling block to agreement has been the reparations question. As the Chinese see it the principle of reparations was included in the San Francisco treaty (and the door left open for some payment in services), and to exclude it from the bilateral treaty would contravene the principle that they take their stand as one of the allied nations; secondly, they do not wish to sign away in advance the rights of the mainlanders in the event (however unlikely) of a Nationalist recovery of Continental China; and lastly, they are unwilling to prejudice the claims of the Philippines government, which has by no means yet abandoned hope of obtaining some reparations in kind.

4. On the other hand the Japanese take a more realistic view of the position. They have resolutely refused even to discuss liability for damage on Formosa, which was in Japanese hands during the whole course of the war. Then, no doubt, they do not wish to prejudice possible future relations with the Central People's Government by making agreements with the Nationalists relating to Continental China. This line of thought also influences their attitude towards certain of the Chinese "face-saving" demands, such as the sovereignty over the mainland and scope of application issues.

5. The draft treaty which had been agreed by the two plenipotentiaries after 5 weeks of hard bargaining was, however, rejected by the Japanese Government. In addition to the civil air navigation rights and "most favoured nation" clauses, later reports indicate that they have also rejected the agreed solutions on the reparations and scope of application questions, and have not unreservedly accepted the Nationalists status as a member of the Allied nations. For the moment, therefore, a

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deadlock has been reached, with matters back more or less as they were on 12th March, when the Japanese presented their counter-proposals.

6. It will be hard for the Chinese to give way any further. Not only is their "national honour" involved, but the abandonment of their claims to sovereignty over the mainland might have legal repercussions on their status in the United Nations. In this attitude they have the support of the Americans.

7. The stiffening of the Japanese attitude is, perhaps, a natural reaction to the ratification of the multilateral treaty by the American Senate on 20th March. Now that this hurdle is safely passed, the need for restraint has lessened and they feel freer to speak their minds on the Chinese demands, which they must regard as unrealistic and unjustified. If they persist in this attitude they may have to withstand strong pressure from their American benefactors, who, at least in Taipei, seem to be generally supporting the Chinese stand. On the other hand, they may be doing nothing more than playing for time so that the signature of the bilateral treaty will take place after the effectuation of the multilateral treaty (which is expected in mid-April).

8. The episode of the publication in Tokyo of the supposed Chinese draft, was never satisfactorily explained. As the text was certainly not the genuine one, the most likely explanation is that it was an intelligent reconstruction by a Japanese newsman in Taipei, based on a little leakage, some conjecture and the San Francisco treaty.

9. In conclusion, I feel that it will be necessary to wait until the multilateral treaty has been made effective before the final terms of the settlement between Japan and Nationalist China will be known.

I have the honour to be,
Sir,
Your most obedient
humble servant,

(E.H. Jacobs-Larkcom)
Consul.

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